

Prime Hedge Fund updates: Asia Managers weather steep performance drawdowns amid Global AI unwind

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Himanshu Deshmukh
Goldman Sachs (Asia) L.L.C.
FICC & Equities



Kartik Singhal
Goldman Sachs International
FICC & Equities



Marco Laicini
Goldman Sachs International
FICC & Equities

The ongoing global AI unwind has triggered steep performance drawdowns across strategies. After record H1 performance, Asia focused Fundamental L/S managers are on track for their largest monthly drawdown in our records. Performance challenges and market drawdowns have led to aggressive net selling and risk reducing flows across regions including Asia.

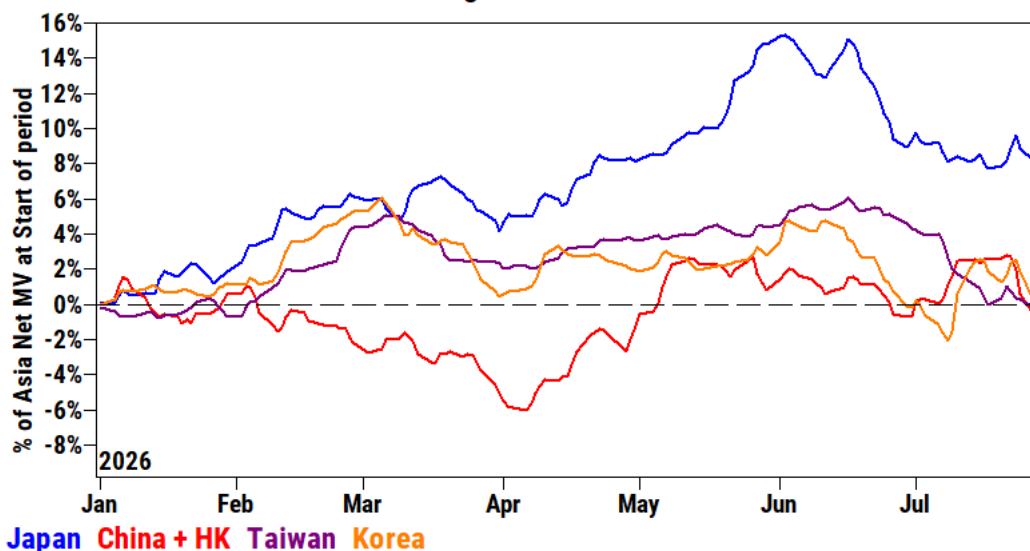
Hedge Fund Performance (As of COB July 28)

- Asia Focused Fundamental LS managers were **down 5.0% yesterday** (27th July).
 - MTD drawdown** is now at **-18.6%**, bringing **YTD performance to +18.9%**.
 - Hedge Funds reversed 21% of YTD performance gain since 22nd July when performance peaked at 40%.
 - Concentrated AI bets that drove record H1 performance are now driving outsized MTD drawdowns. Key alpha detractors include Asset Selection, Short and Medium-Term Momentum and Info Tech tilts – the exact factors that powered the H1 rally.
 - Dispersions remain high and Hedge Funds with concentrated bets on the AI theme seeing larger drawdowns MTD.
- Global Fundamental LS, Multi-Strats and Quants were down more than 1% yesterday. A simultaneous single-day drawdown of 1% or more across Fundamentals, Systematics and Multi-Strats was last observed in March 2020 during the Covid crash. **(Link to the full note from Kartik Singhal & Marco Laicini).**
 - Global Fundamental LS down 1.3% yesterday, with MTD performance at -5.9% . YTD returns still healthy at 11.5%
 - Global Systematic LS managers were down 1% yesterday, are ~flat MTD and YTD performance now at 11.8%
 - Global Multi-Strats (Equity portion only) down 2% yesterday, down 6% MTD and up 11.4% YTD.

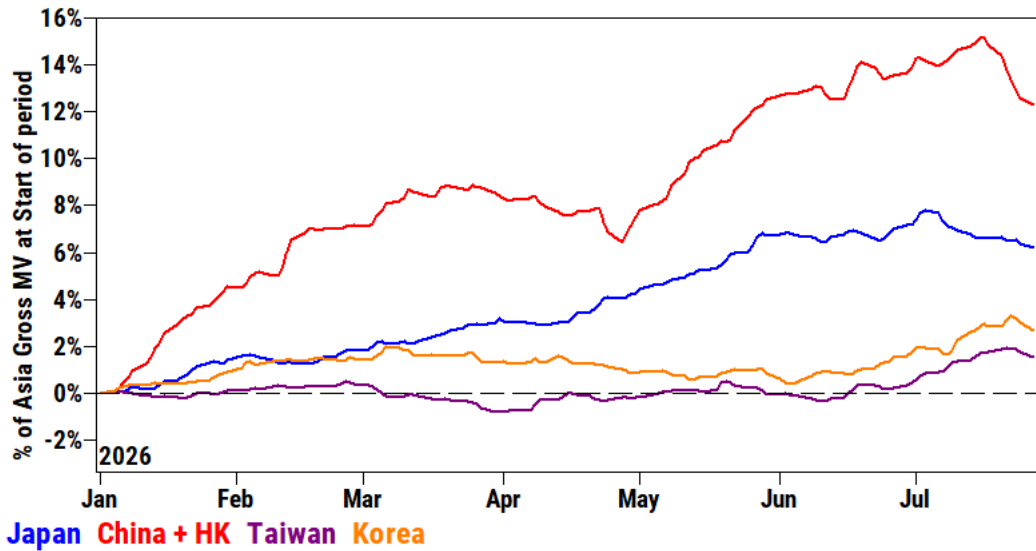
Positioning and Flows (As of COB July 27)

- Monday, 27th July saw the largest single day de-grossing in the Global Prime Book since September 2025 (~3 SD). Risk off flows across regions including US, Europe and Asia. **(Link to note from Vincent Lin).**
- Performance challenges and market moves are translating into risk reduction flows in Asia.
 - Asia has seen 8 consecutive days of de-risking flows. 5-day cumulative de-grossing is at -3.2 SD, the largest in our records in \$ terms.
 - Net selling observed in 7 of the past 9 trading days. 5-day net selling stands at -2.4 SD over the past year. Long sales are driving the overall flows, exceeding short covers in a ratio of 4.3 to 1.
 - Selling in the past 5 days has been seen across markets, with China, Korea and Taiwan leading. Risk off activity led by China, Japan, Taiwan and Korea.
 - China, Korea and Taiwan have seen a reversal of of the YTD buying.

Net Trading Flows: Asia Markets



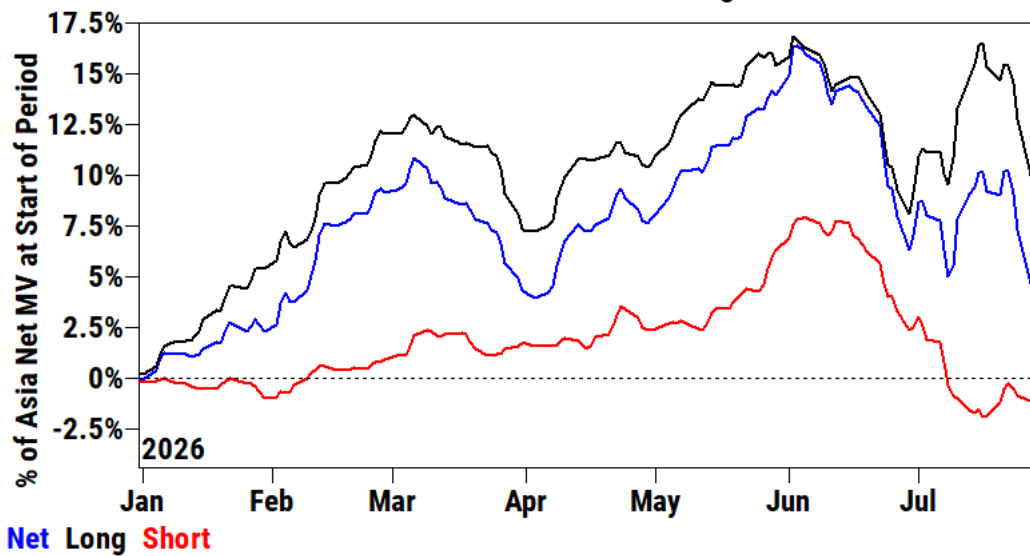
Gross Trading Flows: Asia Markets

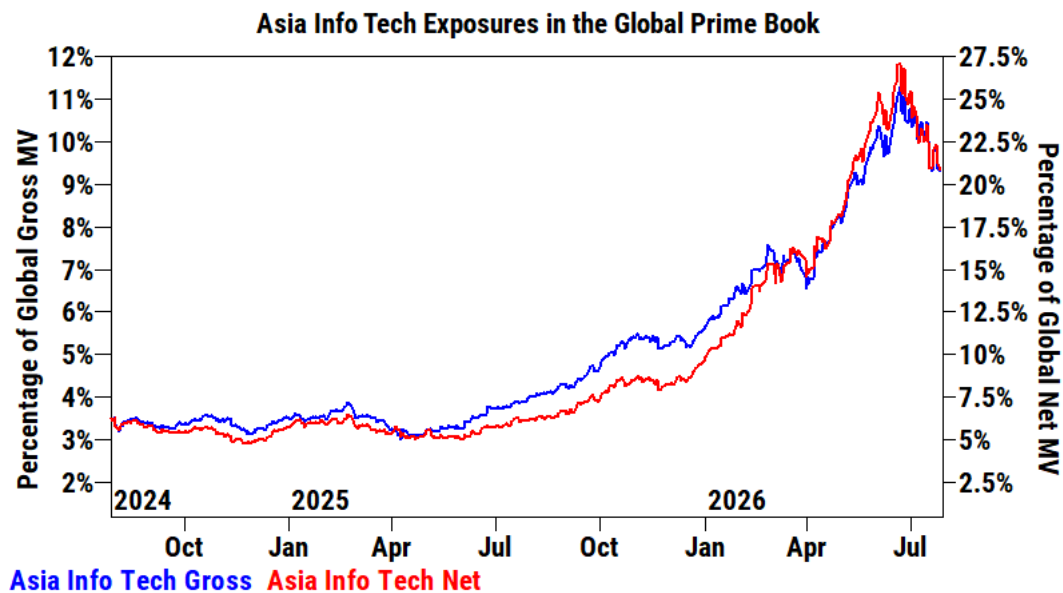


Info Tech Flows: Info Tech sector has led the MTD selling in the region, led by Semis.

- The sector has seen large net selling since the beginning of June. Selling paused with an uptick in buying in early July, but flows have since reversed into high paced selling.
- Both long and short sales have been driving the selling in this space.
- All major markets have seen selling, with Taiwan, Korea, Japan and China driving the selling flows in the recent week.
- Asia Info Tech net exposure in the Global Prime book is at 20.8%, down from 27% on 22nd June. This is still significantly higher than the level of 9.6% at the beginning of the year.

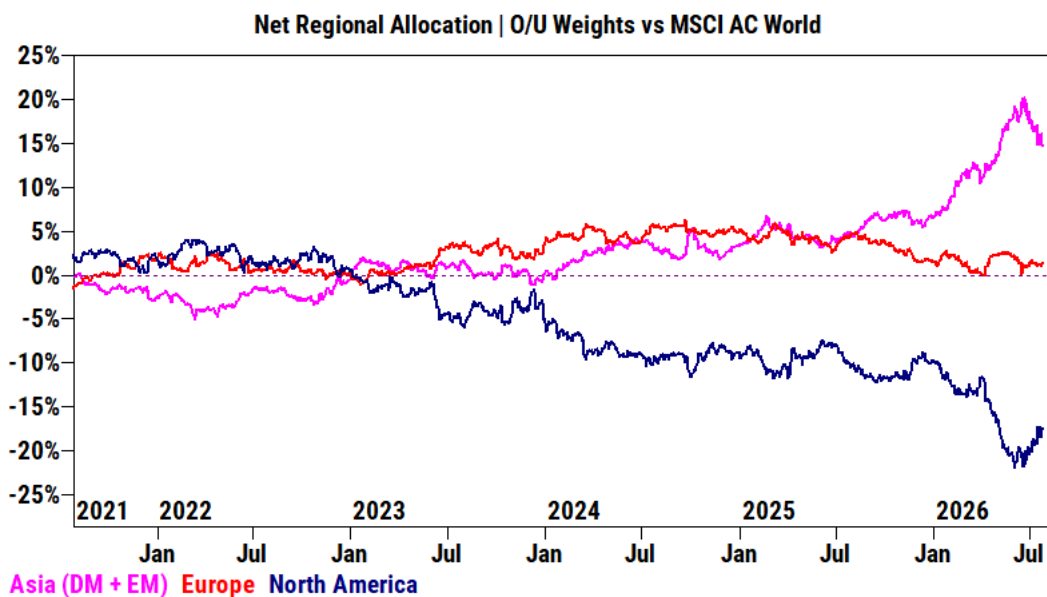
Asia Info Tech: Prime Book Net Trading Flows

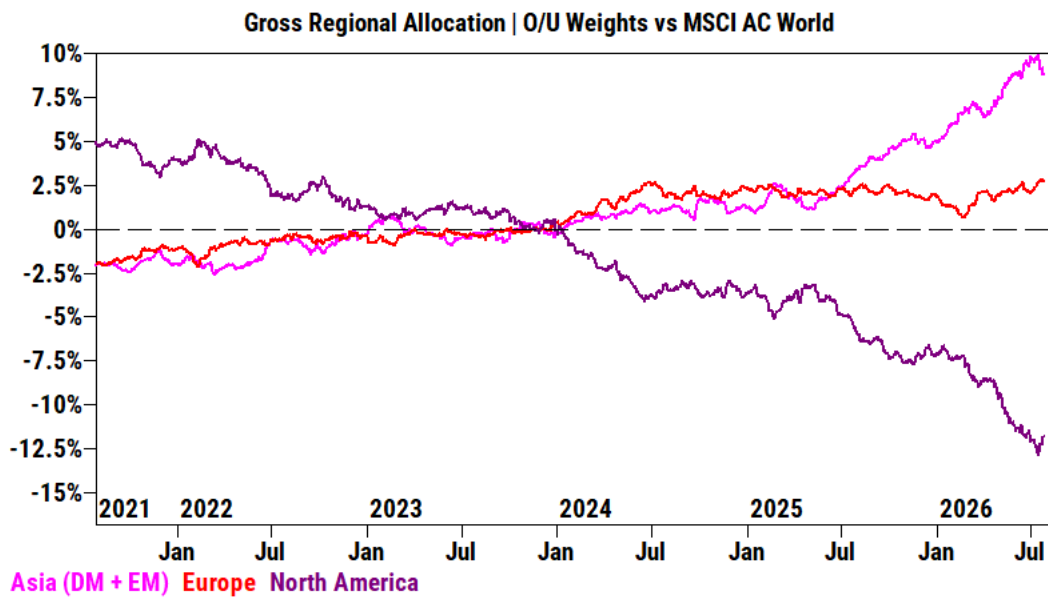




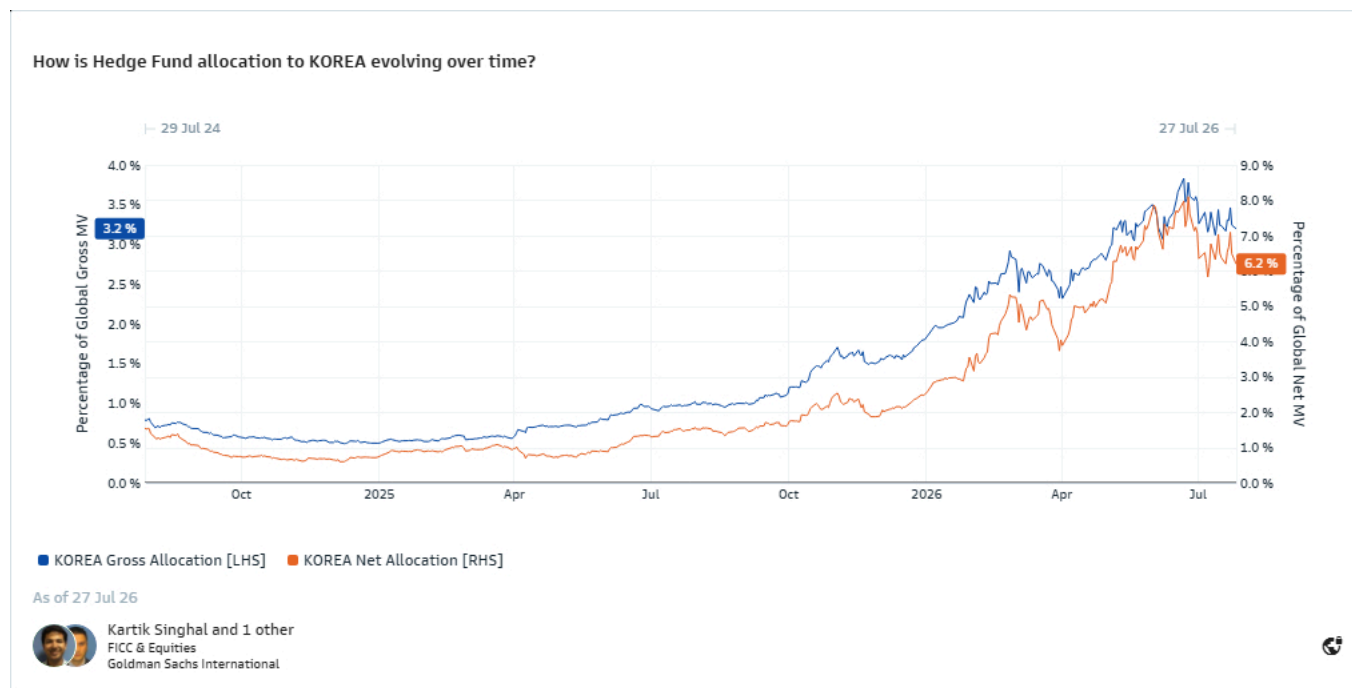
Regional Positioning: Allocations to Asia have seen sharp reductions from recent peaks, but remain elevated vs. history.

- **Net** allocation to the region stands at 31.7%, representing a **14.6% overweight** vs. the MSCI World AC benchmark. While levels have pulled back from the recent peak of 20% overweight, current level is significantly higher than the start of the year level at 6.5%. Current net allocation stands at 78th percentile on a 1-year lookback and 96th percentile on a 5 year period.
- **Gross** allocation is at 25.9%, which stands at **8.8% overweight** vs. the benchmark MSCI World AC index. This has seen a relatively smaller decline from a 10% peak, and started the year at a 5% overweight level.





Korea Positioning: Net allocation is at 6.2%, which stands at 78th percentile vs the past 1 year and 96th percentile vs. a 5 year lookback. Gross allocation is at 3.2% in the Global Prime Book.



Taiwan Positioning: Net allocation is at 6.4% (71st percentile 1-year, 94th percentile 5-year), while Gross is at 4.3% (98th percentile 5-year).

How is Hedge Fund allocation to TAIWAN evolving over time?



As of 27 Jul 26



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Goldman Sachs International



China Positioning: Net allocation to China has declined to 7.0%, which is close to the lowest level seen in the past year and stands at 14th percentile vs. the past 5 years. Gross allocation stands at 7.2% (52nd percentile 1-year, 87th percentile 5-year).

How is Hedge Fund allocation to CHINA evolving over time?



As of 27 Jul 26

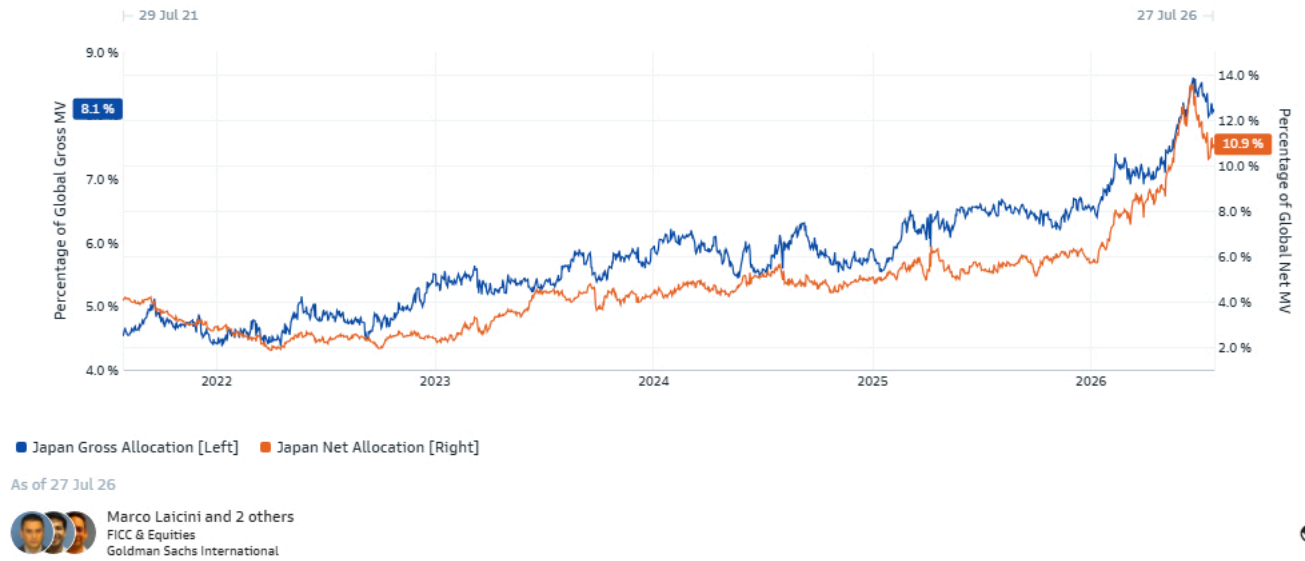


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Japan positioning: Net allocation stands at 10.9% (84th percentile 1-year, 97th percentile 5-year), while Gross allocation is at 8.1% (98th percentile 5-year).

How is Hedge Fund allocation to Japan evolving over time?



Source for all graphs and tables: Goldman Sachs FICC and Equities, Prime Brokerage data as of 29-Jul-26. Past performance is not indicative of future results.

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